Cover Letter

[Date]

To the Editor-in-Chief
Journal of Accounting and Investment (JAI)
Universitas Muhammadiyah Yogyakarta

Dear Editor-in-Chief,

We are pleased to submit our manuscript, “Downside Risk Mitigation in Cryptocurrency Markets: A Dual-Stream Gated Hybrid LSTM Framework under Market Frictions,” for consideration in the Journal of Accounting and Investment.

This manuscript introduces the ETH-Sentinel Hybrid LSTM, a dual-stream recurrent architecture that decouples technical price dynamics from behavioral sentiment (the Crypto Fear & Greed Index) and synthesizes them through a novel Gated Cross-Modality Fusion Unit (GFU). The study addresses two persistent methodological gaps in computational finance literature: (1) the “Turnover Trap,” whereby high-frequency trading signals erode net returns under realistic transaction frictions, and (2) test-set data snooping in hyperparameter selection for trading policies.

The manuscript has undergone an extensive four-round internal methodological audit process prior to this submission, addressing: zero-leakage chronological data partitioning; ex-ante (validation-only) calibration of the confidence dead-band hysteresis policy to eliminate test-set snooping; symmetric ablation design isolating the marginal contribution of sentiment fusion from the marginal contribution of execution policy; formal statistical significance testing via stationary block bootstrap (Politis & Romano, 1994) with full disclosure of non-significant results; and a conditionally reformulated hypothesis structure that reflects the complete empirical evidence rather than overstating it.

We believe this manuscript makes a timely contribution to JAI’s scope at the intersection of computational finance, behavioral asset pricing, and risk management in digital asset markets, and that its methodological transparency — including honest disclosure of statistically inconclusive findings alongside economically meaningful ones — models the rigor JAI’s readership expects.

This manuscript is original, has not been published elsewhere, and is not under consideration by any other journal. All authors have approved the submission. We have no conflicts of interest to declare.

We thank the editorial team for its consideration and look forward to your response.

Sincerely,
[FILL IN: Corresponding Author Name]
On behalf of all co-authors